

performance is as good as (bull market) or worse (bear market) than the average triple top. What that means is if you want to short a busted upward breakout, then look for nearby support that might cause price to reverse after it busts, causing a double (or more) bust.

Trading Tactics

[Table 67.10](#) shows trading tactics.

Measure rule, targets. The measure rule sets a price target so we can assess how often price might reach the target. To use the rule, subtract the lowest low from the highest high reached in the triple bottom and then add the difference to the highest high. The result is the target price.

For example, consider the triple bottom shown in [Figure 67.4](#). The lowest low occurs on the first bottom at 24.68. Price reaches the highest high during the rally after the middle bottom, D, hitting 28.54 for a height of 3.86. Add the height to the highest high (D) and the target becomes 32.40. Price reaches the target at K.

The bottom portion of the table shows how often the stock reaches the target price. We used the full height measure in a bull market. The table says price will reach the target an average of 74% of the time.

For a closer target, cut the height in half and add to the highest high in the pattern. That will work 88% of the time.

Once you know the distance to the target, convert it into a percentage of the current price and check the result against [Table 67.3](#). Using our example, the height is 3.86 and assuming the current price is the breakout price, 28.54, it gives a value of 14%. [Table 67.3](#) says that in bull markets 35% of triple bottoms will fail to see price rise more than 15% (the closest entry to 14%). That means 65% of the trades will succeed, everything else being equal. Can you risk a 35% failure rate?

Wait for confirmation. When is a triple bottom not a triple bottom? When price fails to close above the confirmation price. Always wait for confirmation. On average, it takes about 3 weeks to get there, but it is well worth the wait. Waiting for confirmation means you'll avoid those patterns that break out downward.